J.G.Chemicals Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

India's largest zinc oxide maker and its biggest zinc recycler. It turns zinc scrap into more than ninety grades of zinc oxide, sold mainly to tyre makers (every big Indian one and nine of the global top ten), plus ceramics, pharma, paints and farm users. Prices are linked to the London zinc price, so it earns a conversion margin on top.

Number	Value	What it means
Market cap	Rs 2,327 cr	What the whole company is worth on the market today.
Q2 FY27 revenue (consolidated)	Rs 361 cr	Sales for the quarter, up about two-thirds on a year ago; part of that is a higher zinc price, volumes grew in the mid-teens.
Q2 FY27 operating margin	10.7%	Operating profit per Rs 100 of sales, a bit above a year ago but below Q1's 11.5%.
H1 FY27 profit after tax	Rs 54 cr	Profit for the half year, up about seven-tenths on last year.
Net cash	Rs 63 cr (30 Sep 2026)	It has more cash than debt, even after funding the Dahej plant.
P/E (Screener, standalone)	89x	Looks very pricey on the listed-company figures; on consolidated profit it's far lower, but still not cheap.

2. Concall coverage

Quarter	Date	Transcript read?
Q1 FY26	12 Aug 2025	Yes
Q2 FY26	17 Nov 2025	Yes
Q3 FY26	16 Feb 2026	Yes
Q4 FY26	15 May 2026	Yes
Q1 FY27	10 Aug 2026	Yes
Q2 FY27	4 Nov 2026	Yes, in full

Six calls over about fifteen months. The company only started holding earnings calls in August 2025, so the consistency read is shorter than usual.

Latest concall highlights: Q2 FY27 (4 Nov 2026)

- Best quarter ever for the second quarter running: revenue Rs 361 cr, up 64% on a year ago; profit Rs 28 cr, up 86%.
- Volume growth was in the mid-teens; the rest of the jump is the higher zinc price passed on to customers.
- Dahej Phase 1 (about 15,000 tonnes a year of zinc oxide) starts trial runs in December 2026, then needs customer approvals. Naidupeta add-on slips from Q3 to mid-January.
- October production was the highest ever; management says Q3 will beat what it has done so far.
- Recycled tyre rubber (JG TUR) passed pilot trials with key customers; capex and timing still not shared.

Business mix & capacity

Domestic vs export: Not split between domestic and export on the call. Non-rubber uses were over 18% of first-half sales, against a target of 30% in four to five years.

Capacity use: Zinc oxide plants above 80% of achievable capacity in Q2 FY27, so there's six to nine months of headroom before Dahej and Naidupeta are needed.

3. Earning Trigger thesis

The driver is new zinc oxide capacity just as Indian tyre makers spend heavily on new plants. Dahej in Gujarat adds capacity close to western customers and opens ceramics and speciality chemicals, where JG is barely present today. Management also wants a richer mix of non-tyre grades to lift margins over time. Demand is clearly there today; the open questions are how fast Dahej gets customer approvals and how much of the margin is just zinc price timing.

Trigger	What management said	Evidence so far	Time horizon	Strength
Dahej greenfield plant	Phase 1 in H1 FY27, later Q3 FY27; trial runs December 2026	Civil work done, machinery installed, trials next month	Q4 FY27 onward	Strong, close to production but slipped one quarter
Tyre industry capex	Tyre makers have announced about Rs 25,000 cr of new capacity	Record volumes, plants above 80% full	Two to three years	Strong
Non-rubber mix	From 15% to over 30% of sales in four to five years	Now over 18% in H1 FY27	Four to five years	Moderate
Recycled rubber (JG TUR)	New business selling recycled rubber to tyre makers	Pilot trials done; no capex or timeline yet	Not stated	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Already net cash; no debt plan discussed.
New business	Yes	JG TUR recycled rubber: 'pilot trials ... successful', now working toward commercialization (Nov 2026).
Margin up	Yes	Expects '14% to 15% EBITDA margin' in about three years as value-added grades grow (Nov 2026).
New management	No	None.
New capacity	Yes	Dahej Phase 1 trial runs 'scheduled for next month' (December 2026); Naidupeta add-on by January 2027.
Big orders	No	No order book business.
Turnaround	No	None.
Promoter buying	No	Not mentioned.

The single concrete driver: The new Dahej zinc oxide plant starts trials in December 2026, landing as Indian tyre makers ramp up their own new capacity.

3c. Margin bridge

Operating margin rose to about 10.7% from about 9.9% a year ago, helped by staff and overhead costs growing slower than sales. It dipped from Q1 because cheaper zinc bought earlier arrived late during the West Asia shipping delays. Management calls the quarter-to-quarter swings timing and expects margins to climb only as the non-tyre mix grows (lasting, but slow).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Aug 2025	Dahej Phase 1 to start 'sometime next year', H1 FY27	Slipped to Q3 FY27; trials December 2026	Partly
Nov 2025	Steady margin of 10-11% in core business	10.7% in Q2 FY27, 11.5% in Q1	Delivered

Period	What was promised	What actually happened	Verdict
Nov 2025	Recycled rubber trials in Q4 FY26	Pilot trials started by Feb 2026, done with customers by Nov 2026	Delivered
Nov 2025	Non-rubber share from 15% to 30% in four to five years	Over 18% in H1 FY27	Too-early
Aug 2026	Naidupeta brownfield add-on in Q3 FY27	Now mid-January 2027	Partly
May 2026	Strong demand to carry into FY27	Two record quarters back to back	Delivered

Narrative drift: The story has been steady from the first call: largest zinc oxide maker, recycled zinc, tyre growth, Dahej, more non-tyre grades. Results have matched the demand talk. The weak spot is dates: both new plants have slipped a quarter or so, and the recycled rubber project keeps getting praise without a capex number. Tone is confident, sometimes promotional.

5. Bottom line

Durable earning trigger? → YES

A concrete new plant is weeks from trial runs, existing plants are above 80% full, and the tyre industry is adding capacity. Results already show it, though part of the revenue jump is a higher zinc price, not more tonnes.

Management consistent? → MAYBE

Delivered on demand and margins, and the story hasn't changed. But plant dates have slipped a quarter each, and the recycled rubber business still has no capex, capacity or timeline after a year of talk. Only six calls to judge from.

6. Checkpoints for next quarter

- Dahej Phase 1 trial runs happen in December 2026
- Naidupeta brownfield add-on commissioned by January 2027
- Operating margin holds above 10% in Q3 FY27

This is not investment advice. Do your own due diligence.